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Introduction to Trade Theories:

What, Why and for Whom?

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Trade Patterns

- Late 1800s: Relatively high due to rise in world trade
- Between 1890 and 1950: Less open to world trade
- Post World War II: Increasing openness due to technological advances and reduction in barriers
- Relative importance of international trade has increased by 50 percent during the past century
- Shift in trade patterns
 - From raw materials and agricultural products (1890s) to manufactured goods and services (today)



Fallacies of International Trade

- Trade is a zero-sum activity
- Imports reduce employment and act as a drag on the economy; exports promote growth and employment
- Tariffs, quotas, and other import restrictions will save jobs and promote a higher level of employment



Why Economists Are Worried About International Trade

- New York Times, **Gregory Mankiw**, Feb. 16, 2018
- The Trump administration has imposed a **tariff on imported solar panels**, raising questions about America's commitment to free trade.
- The place to start is **18th-century Scotland**.
- [Adam Smith's book](#) "An Inquiry Into the Nature and Causes of the Wealth of Nations" is often credited as the beginning of economics.



Source: <https://www.nytimes.com/2018/02/16/business/trump-economists-trade-tariffs.html>

Jack of All trade - A Myth

- The case for free trade is one of its major themes.
- Smith argued that trade among nations is like trade among people.
- No one feels compelled to sew his own clothes and grow his own food simply to keep busy.
- Instead, we find employment doing what we do best and rely on other people for most goods and services.
- Similarly, nations should specialize in producing what they do best and freely trade with other nations to satisfy their consumption needs.
- This argument was expanded by [David Ricardo](#) in the 19th century.
- Ricardo addressed the question: **What if one nation does everything better than another?**
- Ricardo used England and Portugal as an example.

EXAMPLES

- Even if Portugal was better than England at producing both wine and cloth, if Portugal had a larger advantage in wine production, Portugal should export wine and import cloth.
- The same principle **applies to people**.
- Given his athletic prowess, **Roger Federer** may be able to mow his lawn faster than anyone else.
- The advantage he has playing tennis is far greater than he has mowing lawns.
- So, according to Ricardo (and common sense), Mr. Federer should hire a lawn service and spend more time on the court.

- By the way, **Ricardo** was not merely a theorist. He was also a successful stock trader and a member of Parliament.
- During his political career, he fought for free trade, notably, by opposing the Corn Laws, which imposed tariffs on grain imports.

More Recently

- More recently, economists have emphasized how trade affects **productivity**.
- In a model pioneered [Marc Melitz](#), when a nation opens up to international trade, the most productive firms expand their markets, while the least productive are forced out by increased competition.
- As resources move from the least to the most productive firms, overall productivity rises.

Evidences to Believe

- A skeptic might say that all this is **just theory. Where's the evidence?**
- One approach to answering this question is to examine whether countries that are open to trade enjoy greater prosperity.
- In a 1995 paper, the economists [Jeffrey D. Sachs and Andrew Warner](#) studied a large sample of nations and found that open economies grew significantly faster than closed ones.
- A [second approach](#) is to look at what happens when closed economies remove their trade restrictions.
- In the world economy, the typical result has been an increase in their growth rates due to open up.
- This occurred in Japan in the 1850s, South Korea in the 1960s and Vietnam in the 1990s.



A Caveat of Trade Effects

- These results, while suggestive, come with a caveat.
- Trade restrictions often accompany other government policies that interfere with markets.
- To address this problem, a third approach to measuring the effects of trade, proposed by the economists [Jeffrey A. Frankel of Harvard and David C. Romer](#) of the University of California, Berkeley, focuses on **geography**.
- Some countries trade less because of geographic disadvantages.
- For example, **New Zealand** is disadvantaged compared with **Belgium** because it is farther from other populous countries.
- Similarly, landlocked nations are disadvantaged compared with nations with their own seaports.

Rationale...From Data

- geographic characteristics are correlated with trade, but arguably uncorrelated with other determinants of prosperity, they can be used to separate the impact of trade on national income from **other confounding factors**.
- After analyzing the data, Mr. Frankel and Mr. Romer concluded that “a rise of one percentage point in the ratio of trade to G.D.P. increases income per person by at least one-half percent.”
- In other words, nations should take the theories of Smith, Ricardo and Melitz seriously.

Free Trade . . . Not Good Always

- To be sure, expanding trade hurts some people in the short run, especially those in import-competing sectors who have to find new jobs.
- That fact may call for a robust safety net and effective retraining.
- But it does not undermine the conclusion that free trade raises average living standards.
- **Should we impose a tariff on Americans vacationing at Scotland's Trump International Golf Links?**
- **Or should vacationers make their consumption choices free from the heavy hand of government?**

Why is trade good?

- generates wealth by allowing the free flow of goods across international borders, without taxes and other such barriers.
- combined power of capitalism and free trade.
- Have trickle down effects
- billions of people around the world have been lifted out of poverty
- 19th century – ending centuries of **beggar-thy-neighbour** economic nationalism – opening up new markets to boost the industrial revolution and drive forward the development of the middle class.
- Two ideas remain central to the theory of international trade more than **200 years later**.

Source: <https://www.theguardian.com/business/2018/aug/13/is-free-trade-always-the-answer>



Revisiting Theories

- In his seminal work *The Wealth of Nations*, Adam Smith taught countries to concentrate their efforts on producing and selling goods in which they have an “absolute advantage” over their trading partners.
- Cheaper labour costs give modern-day China an absolute advantage over most western nations for manufacturing.
- **what happens when a country has absolute advantage in multiple industries?**
- So the theory on ‘Comparative Advantage’

Social and Political Questions

- Classical economic theory does not, however, always work in practice
- Unfettered capitalism across borders still creates winners and losers, posing thorny social and political questions for policymakers where dry economic models cannot help.

A short history of protectionism

- There has been trade protectionism throughout history.
- The Romans prohibited the cultivation of wine beyond the Alps and the ancient Greeks imposed 5% duties at all ports in their empire.
- The renaissance brought the gradual end of **Mercantilism**, pushed further by the free market principles developed by David Ricardo and Adam Smith in the 18th and 19th century.
- Before then, the Navigation Act forced goods to come ashore from British ships, while records as far back as the 12th century refer to import taxes.
- The key moment came with the **abolition of the Corn Laws in 1846**.

Birth of WTO..smoothing continues

- Grain shortages caused by Britain's growing population and blockades during the Napoleonic wars meant prices were steep.
- Peace in 1815 could have pushed down the price of imports, yet tariffs kept them high.
- **Robert Peel**, the prime minister, sided with the factory owners and spurred the move to trade liberalisation in Europe.
- The **Wall Street crash of 1929** led to the Smoot-Hawley tariffs of 1930 to protect US domestic industrial production but it triggered tit-for-tat responses which economists think deepened the Great Depression.
- Following the **second world war**, the world's biggest economies created the World Bank and the International Monetary Fund, and the General Agreement on Tariffs and Trade (GATT) in 1947 – which would become the forerunner to the World Trade Organisation (WTO) in 1995.

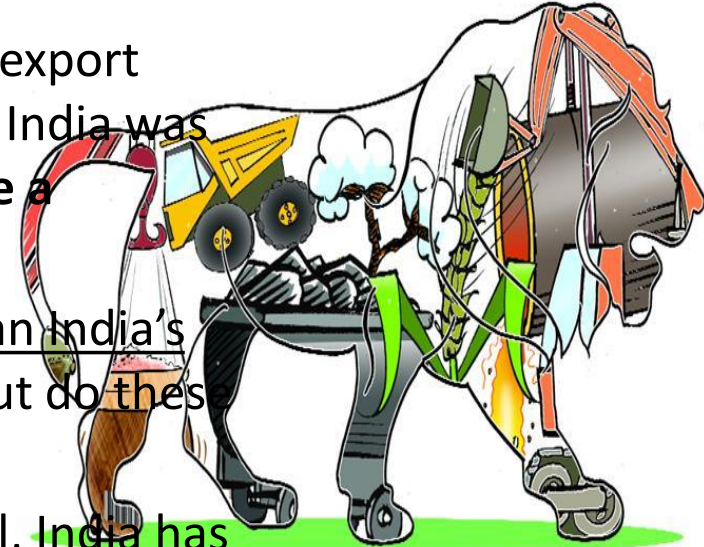
Is free trade always the answer?

- Trade deals always create winners and losers.
- these decisions often come amid an onslaught of **lobbying from powerful vested interests**.
- The failed [Transatlantic Trade and Investment Partnership](#) between the US and the EU is one recent example,
- where corporate interests including the US private health industry wanted to expand to new markets in Europe.
- The deal ultimately failed amid widespread public opposition.
- Domestic producers can be squeezed out by global rivals with huge economies of scale.
- “freedom for the pike is death for the minnows” - - **political theorist Isaiah Berlin**

- Economists argue international competition stimulates greater **innovation and productivity**, while warning protectionism can hinder progress.
- The quantity and quality of **Soviet cars** and other eastern bloc goods serves as one example, while the poor reputation of cars made by the **British motor industry** during the 1970s might be another.
- Consumers have benefited as the quality of goods have improved and prices have fallen.

India must focus on areas it has comparative advantage rather than fear rise of China

- Much of China's economic success is due to the rapid growth in its exports, specially in manufacturing
- Ironically this sharp divergence in their respective export performance has come despite the fact that while India was a founding member of **WTO in 1995** **China became a member only in 2001.**
- China's economy is more than five times larger than India's and its manufacturing sector is ten times India's but do these factors alone explain China's success in exports?
- Or does one need to delve a little deeper? After all, India has some of the world's largest reserves of iron ore, bauxite and



- India has comparative advantage in the world market in many other commodities such as food items, agricultural raw materials, fuels and ores, metals and precious stone.
- **our export baskets are complementary rather than competitive**
- The key therefore, is to identify these sectors properly....**so no worry of Chinese rise**

*Thank
you*

